

Business Model of a Neobank

1. The Core Partnership Structure

a. Licensed Bank Partner

- Holds all customer deposits in custodial accounts (legally insured).
- Provides the banking license, compliance, and security layer.

b. Neo-bank (Fintech Layer)

- Builds the app, user interface, and data analytics tools.
- Handles customer onboarding, KYC, and support through automation.
- Connects to the licensed bank's systems via APIs.

So, when you add money to your neo-bank account, that money technically sits in the partner bank's account **under your name** — not in the neo-bank's own vault.

2. How They Keep Money Safe

- Funds are held in **segregated, insured accounts** (meaning if the neo-bank fails, your money is still protected in the partner bank).
 - **Regulators** (like the State Bank of Pakistan or the FCA in the UK) require that neo-banks follow strict **KYC/AML** rules to prevent fraud or money laundering.
 - **APIs are audited** to ensure the fintech cannot misuse or move your money without authorization.
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3. Example Flow

Let's take Sadapay as an example in Pakistan:

1. You open an account on the Sadapay app.
 2. Sadapay verifies your CNIC and identity digitally.
 3. Your money is actually **stored at a licensed bank partner** (for example, Allied Bank or Samba Bank, depending on the agreement).
 4. Sadapay gives you a **virtual Mastercard** and a **mobile experience**, but all the “real banking” behind the scenes (deposit insurance, clearing, settlement) is done by the partner bank.
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4. How Neo-banks Make Money

Neo-banks have several revenue streams:

1. **Interchange fees:** A small percentage each time you use your card for payments.
 2. **Subscription models:** Premium accounts with extra features (higher limits, metal cards, insurance).
 3. **Lending:** Partnering with banks to offer microloans or credit lines.
 4. **FX & international transfers:** They charge small spreads on currency exchange.
 5. **Partnerships:** Integrations with apps for investments, insurance, or bill payments.
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5. Why This Model Works

- **Low overhead:** No branches → minimal fixed costs.
- **Scalable:** One app can reach millions instantly.
- **Tech advantage:** Use of AI and data analytics for personalization.
- **Regulatory safety:** Partner banks handle the licensing risk.